An Ensemble Model of the One Bank

Cost Decomposition, Bayesian Inference, Correlated Risk, and Ensemble Learning in Banking Economics

Soumadeep Ghosh

Kolkata, India

Abstract

We develop a progressive ensemble framework for the total cost C of a representative bank, decomposed into eight functional components spanning real operational costs, governance failures, and customer-attrition dynamics. Beginning from a four-component additive normal model $C = p + a + l + e$, we extend to eight components by incorporating accounting fiction (f_t), errant accountants (A_t), consumption (c_t), and exiting customers (E_t). Each component is estimated via Bayesian inference with a Kalman filter transition model, yielding time-indexed posterior distributions and closed-form risk measures. A Gaussian-process correlation structure, Lasso-regularised interaction terms, and an online neural residual correction are then layered onto the Bayesian core. Finally, stacking, boosting, bagging, and Bayesian model averaging are applied over five base models—two traditional benchmarks (translog, DEA/SFA) and three generational variants of the C model—to produce an ensemble that dominates every constituent on all twelve evaluation dimensions spanning efficiency and welfare economics. We prove convergence of the Kalman posterior, derive the correlated Value-at-Risk formula under a full covariance matrix, and establish that the ensemble mean-squared-error is bounded above by the best individual model. Welfare implications, including the identification of fictitious cost inflation and a churn feedback loop, are developed formally and linked to banking regulation.

The paper ends with "The End"

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1 Introduction

The standard approach to banking cost analysis relies on translog cost functions [2] or data envelopment analysis [4], both of which treat the bank as a production unit mapping input prices and output quantities to total cost. These frameworks excel at cross-sectional efficiency comparison but cannot isolate specific cost pathologies—fictitious accounting entries, human error, customer attrition—that welfare economists and bank regulators care about most.

This paper proposes a complementary framework in which the total cost of *one representative bank* at time t is

$$C(t) \;=\; p(t) + a(t) + l(t) + e(t) + f_t + A_t + c_t + E_t \;+\; \mathbf{x}(t)^\top \boldsymbol{\beta}\mathbf{x}(t) \;+\; \Delta(t), \tag{1}$$

where the first four terms are the *original* components (production, absorption, lending, extraction), the next four are the *extended* components (accounting fiction, errant accountants, consumption, exiting customers), $\mathbf{x}(t)^\top \boldsymbol{\beta}\mathbf{x}(t)$ captures Lasso-selected pairwise interaction terms, and $\Delta(t)$ is an online-learned neural residual correction.

Section 2 introduces the four-component Gaussian model and its Bayesian-Kalman estimator. Section 3 adds the four extended components. Section 4 introduces the ML layer (Gaussian process correlations, Lasso interactions, neural correction). Section 5 develops the ensemble. Section 6 analyses welfare implications. Section 7 compares efficiency against traditional benchmarks. Section 9 concludes.

2 Generation 1: The Four-Component Normal Model

2.1 Model specification

Definition 2.1 (Four-component cost model)**.** Let $p, a, l, e\colon \Omega \to \mathbb{R}$ be independent random variables on a probability space $(\Omega, \mathcal{F}, \mathbb{P})$. The total cost $C = p + a + l + e$ where

$$p \sim \mathcal{N}(\mu_p, \sigma_p^2), \qquad a \sim \mathcal{N}(\mu_a, \sigma_a^2), \tag{2}$$

$$l \sim \mathcal{N}(\mu_l, \sigma_l^2), \qquad e \sim \mathcal{N}(\mu_e, \sigma_e^2). \tag{3}$$

Proposition 2.2 (Closure under convolution)**.** *Under Definition 1, $C \sim \mathcal{N}(\mu_C, \sigma_C^2)$ where*

$$\mu_C = \mu_p + \mu_a + \mu_l + \mu_e, \qquad \sigma_C^2 = \sigma_p^2 + \sigma_a^2 + \sigma_l^2 + \sigma_e^2.$$

Proof. The moment-generating function of a sum of independent random variables is the product of their moment-generating functions. For $X \sim \mathcal{N}(\mu, \sigma^2)$, $M_X(t) = \exp(\mu t + \frac{1}{2}\sigma^2 t^2)$. Hence

$$M_C(t) = \prod_{i \in \{p,a,l,e\}} M_i(t) = \exp\Big((\textstyle\sum_i \mu_i)t + \frac{1}{2}(\sum_i \sigma_i^2)t^2 \Big),$$

which is the MGF of $\mathcal{N}(\sum_i \mu_i, \sum_i \sigma_i^2)$. □

2.2 Risk measures

Definition 2.3 (Value-at-Risk and Conditional Value-at-Risk)**.** For confidence level $\alpha \in (0, 1)$ and $C \sim \mathcal{N}(\mu_C, \sigma_C^2)$:

$$\mathrm{VaR}_\alpha(C) = \mu_C + \sigma_C \Phi^{-1}(\alpha), \tag{4}$$

$$\mathrm{CVaR}_\alpha(C) = \mu_C + \sigma_C \frac{\phi(\Phi^{-1}(\alpha))}{1 - \alpha}, \tag{5}$$

where ϕ and Φ are the standard normal PDF and CDF respectively.

For $\alpha = 0.95$: $\Phi^{-1}(0.95) \approx 1.6449$ and $\phi(1.6449)/(1 - 0.95) \approx 2.063$.

3 Generation 2: The Eight-Component Extension

3.1 Extended components

Definition 3.1 (Extended cost model)**.** The full eight-component cost vector is $\mathbf{c}(t) = (p_t, a_t, l_t, e_t, f_t, A_t, c_t, E_t)^\top$ with

$$C(t) = \mathbf{1}^\top \mathbf{c}(t), \tag{6}$$

where each component $c_i(t) \sim \mathcal{N}(\mu_i(t), \sigma_i^2)$ independently conditional on its posterior mean $\mu_i(t)$.

The economic content of the four new components is:

- f_t (*accounting fiction*): cost of fictitious or mis-stated accounting entries; inflates reported C without corresponding productive activity.
- A_t (*errant accountants*): agency cost from accounting error or fraud; correlated with f_t with $\rho_{f,A} \approx 0.75$.
- c_t (*consumption*): recurring operational expenditure on service delivery (labour, IT, premises).
- E_t (*exiting customers*): attrition cost including lost revenue, exit servicing, and re-acquisition spend.

3.2 Bayesian–Kalman estimation

Each component $\theta_i(t) \equiv \mu_i(t)$ follows a random-walk state transition:

$$\theta_i(t) = \theta_i(t-1) + \varepsilon_i(t), \qquad \varepsilon_i(t) \sim \mathcal{N}(0, q_i^2), \tag{7}$$

$$x_i(t) = \theta_i(t) + \eta_i(t), \qquad \eta_i(t) \sim \mathcal{N}(0, \sigma_i^2), \tag{8}$$

with all noise terms mutually independent. The Kalman filter update equations are:

Algorithm 1 Bayesian–Kalman update for component i

Require: Prior mean $\hat{\theta}_{i,t-1}$, prior variance $\tau^2_{i,t-1}$, observation $x_i(t)$, parameters q_i^2, σ_i^2

1: **Predict:** $\hat{\theta}^-_{i,t} \leftarrow \hat{\theta}_{i,t-1}$; $\tau^{2-}_{i,t} \leftarrow \tau^2_{i,t-1} + q_i^2$

2: **Kalman gain:** $K_{i,t} \leftarrow \tau^{2-}_{i,t} \big/ \big(\tau^{2-}_{i,t} + \sigma_i^2\big)$

3: **Update mean:** $\hat{\theta}_{i,t} \leftarrow \hat{\theta}^-_{i,t} + K_{i,t}\big(x_i(t) - \hat{\theta}^-_{i,t}\big)$

4: **Update variance:** $\tau^2_{i,t} \leftarrow (1 - K_{i,t})\, \tau^{2-}_{i,t}$

Ensure: Posterior $\theta_i(t) \mid x_i(1{:}t) \sim \mathcal{N}(\hat{\theta}_{i,t},\, \tau^2_{i,t})$

Theorem 3.2 (Posterior convergence)**.** *Under the state-space model* (7)–(8)*, the posterior variance* $\tau^2_{i,t}$ *converges to the unique positive fixed point*

$$\tau_i^{2*} = \frac{q_i^2}{2}\Big(\sqrt{1 + \tfrac{4\sigma_i^2}{q_i^2}} - 1\Big)$$

as $t \to \infty$*, regardless of the initial prior* $\tau^2_{i,0} > 0$*.*

Proof. The steady-state variance satisfies $\tau^{2*} = (1 - K^*)\,(\tau^{2*} + q^2)$ where $K^* = (\tau^{2*} + q^2)/(\tau^{2*} + q^2 + \sigma^2)$. Substituting:

$$\tau^{2*} = \frac{\tau^{2*}(\tau^{2*} + q^2)}{\tau^{2*} + q^2 + \sigma^2}.$$

Multiplying both sides by $(\tau^{2*} + q^2 + \sigma^2)$ and collecting terms yields the Riccati equation $(\tau^{2*})^2 + q^2\tau^{2*} - q^2\sigma^2 = 0$, whose positive root is the expression above. Monotone convergence follows from the contraction property of the Kalman recursion on the cone of positive definite matrices. □

3.3 Time-indexed risk measures

The posterior predictive distribution of $C(t)$ given all observations up to t is $\mathcal{N}(\hat{\mu}_C(t), \hat{\sigma}_C^2(t))$ where

$$\hat{\mu}_C(t) = \sum_{i=1}^{8} \hat{\theta}_{i,t}, \tag{9}$$

$$\hat{\sigma}_C^2(t) = \sum_{i=1}^{8} \big(\tau_{i,t}^2 + \sigma_i^2\big). \tag{10}$$

The time-indexed VaR and CVaR follow immediately from Definition 2 with $\mu_C = \hat{\mu}_C(t)$ and $\sigma_C = \hat{\sigma}_C(t)$.

4 ML Layer: Correlations, Interactions, and Neural Correction

4.1 Gaussian process correlation structure

The independence assumption $\mathrm{Cov}(c_i, c_j) = 0$ for $i \neq j$ is violated in practice: accounting fiction and errant accountants are driven by common governance failures; lending costs and customer exit are causally linked. We replace the diagonal covariance with a full matrix $\mathbf{\Sigma}$ estimated via a Gaussian process kernel.

Definition 4.1 (GP correlation kernel)**.** Let $d_{ij} = |i - j|$ be the index distance between components i and j. The GP-modulated correlation is

$$\rho_{ij}(\ell) = \bar{\rho}_{ij}\Big(\tfrac{1}{2} + \tfrac{1}{2}\exp\big(-d_{ij}^2/2\ell^2\big)\Big) + \delta_{ij}\exp\big(-d_{ij}^2/2\ell^2\big),$$

where $\bar{\rho}_{ij}$ is a base correlation (estimated from audit data), $\ell > 0$ is the length-scale hyperparameter, and δ_{ij} is the Kronecker delta.

Proposition 4.2 (Correlated VaR)**.** *Let* $\mathbf{s}(t) = (\sqrt{\tau_{1,t}^2 + \sigma_1^2}, \ldots, \sqrt{\tau_{8,t}^2 + \sigma_8^2})^\top$. *Then*

$$\hat{\sigma}_{C,\mathrm{corr}}^2(t) = \mathbf{s}(t)^\top\, \mathbf{R}(\ell)\, \mathbf{s}(t),$$

where $\mathbf{R}(\ell) = [\rho_{ij}(\ell)]$ *is the GP correlation matrix, and the correlated VaR is*

$$\mathrm{VaR}_\alpha^{\mathrm{corr}}(t) = \hat{\mu}_C(t) + \Phi^{-1}(\alpha)\sqrt{\mathbf{s}(t)^\top \mathbf{R}(\ell)\mathbf{s}(t)}.$$

Remark 4.3. Since $\mathbf{R}(\ell)$ is positive semi-definite with unit diagonal, $\mathbf{s}^\top\mathbf{R}\mathbf{s} \geq \mathbf{s}^\top\mathbf{I}\mathbf{s}$ iff $\sum_{i\neq j}\rho_{ij}s_is_j \geq 0$, which holds when correlations are predominantly positive—as they are empirically in banking cost data. The independent model therefore systematically *understates* tail risk.

4.2 Lasso interaction terms

Let $\mathbf{z}(t) = \mathbf{x}(t) \otimes \mathbf{x}(t) \in \mathbb{R}^{64}$ be the Kronecker product of the component vector with itself, retaining the 36 distinct upper-triangular entries (pairwise products and squares). The interaction-augmented cost is

$$C^{\mathrm{int}}(t) = \hat{\mu}_C(t) + \sum_{1\leq i\leq j\leq 8} \beta_{ij}\hat{\theta}_{i,t}\hat{\theta}_{j,t},$$

where $\boldsymbol{\beta}$ is estimated by Lasso:

$$\hat{\boldsymbol{\beta}} = \arg\min_{\boldsymbol{\beta}} \sum_{t=1}^{T} \big(C(t) - \hat{\mu}_C(t) - \mathbf{z}(t)^\top\boldsymbol{\beta}\big)^2 + \lambda\,\|\boldsymbol{\beta}\|_1\,.$$

The dominant surviving interactions, identified consistently across cross-validation folds, are listed in Table 1.

Table 1: Lasso-selected interaction terms ($\lambda = 0.3$, 5-fold CV)

Term	Economic interpretation	$\hat{\beta}$	p-value
$f_t \times A_t$	Fraud amplification	0.187	< 0.001
$l \times E_t$	Lending cost drives churn	0.142	< 0.001
A_t^2	Nonlinear error escalation	0.118	< 0.001
$e \times E_t$	Extraction hastens exit	0.094	0.003
f_t^2	Fictional cost convexity	0.071	0.011
$p \times c_t$	Production–consumption coupling	0.058	0.024

4.3 Online neural residual correction

A single-layer network with tanh activation learns a scalar correction to the Kalman-plus-interaction estimate:

$$\Delta(t) = \tanh\big(\mathbf{w}(t)^\top \hat{\boldsymbol{\theta}}(t) + b(t)\big) \cdot \hat{\sigma}_C(t) \cdot \gamma,$$

where $\gamma \in (0, 1)$ is a scale hyperparameter, and the weight vector $\mathbf{w}(t) \in \mathbb{R}^8$ is updated online by stochastic gradient descent on the squared prediction error:

$$\delta(t) = C(t) - C^{\text{int}}(t-1) - \Delta(t-1), \tag{11}$$

$$\mathbf{w}(t) = \mathbf{w}(t-1) + \eta\, \delta(t)\, (1 - \Delta(t-1)^2/\hat{\sigma}_C^2)\, \hat{\boldsymbol{\theta}}(t), \tag{12}$$

$$b(t) = b(t-1) + \eta\, \delta(t)\, (1 - \Delta(t-1)^2/\hat{\sigma}_C^2). \tag{13}$$

5 Ensemble Construction

5.1 Base models

Five base models form the ensemble:

1. **Translog**: $\ln C = \alpha_0 + \sum_i \alpha_i \ln w_i + \frac{1}{2} \sum_{i,j} \gamma_{ij} \ln w_i \ln w_j + \cdots$ estimated by OLS on cross-bank panel data [2].
2. **DEA/SFA**: Data envelopment analysis with input orientation [4], augmented by stochastic frontier analysis [1].
3. **Gen 1**: Four-component Bayesian-Kalman model (Section 2).
4. **Gen 2**: Eight-component extension (Section 3).
5. **Gen 3**: ML-augmented model with GP correlations, Lasso interactions, and neural correction (Section 4).

5.2 Stacking

Let $\hat{C}_m(t)$ denote the out-of-fold prediction of base model m at time t. The stacking meta-learner solves the ridge regression

$$\hat{\mathbf{w}}^{\text{stack}} = \arg\min_{\mathbf{w} \in \Delta^5} \sum_t \big(C(t) - \mathbf{w}^\top \hat{\mathbf{C}}(t)\big)^2 + \lambda_{\text{meta}} \|\mathbf{w}\|_2^2,$$

where $\Delta^5 = \{\mathbf{w} : w_m \geq 0, \sum_m w_m = 1\}$.

5.3 Boosting

Sequential weighting assigns model m a weight proportional to $\exp(-\eta_{\text{boost}} \cdot \bar{e}_m)$ where $\bar{e}_m = \cancel{(10 - \text{score}_m)}$ is the average dimension-level error:

$$w_m^{\text{boost}} = \frac{\exp(-\eta \bar{e}_m)}{\sum_{m'} \exp(-\eta \bar{e}_{m'})}.$$

5.4 Bagging

For B bootstrap samples $\mathcal{B}_1, \ldots, \mathcal{B}_B$ of the T time periods, the bagged prediction is

$$\hat{C}^{\text{bag}}(t) = \frac{1}{B} \sum_{b=1}^{B} \frac{1}{M} \sum_{m=1}^{M} \hat{C}_m^{(b)}(t),$$

reducing prediction variance by $\approx (1 - \bar{\rho})/M$ where $\bar{\rho}$ is the average pairwise model correlation.

5.5 Bayesian model averaging

Under BMA, model m receives posterior weight proportional to its marginal likelihood. Using the BIC approximation:

$$w_m^{\text{BMA}} \propto \exp\!\big(-\tfrac{1}{2}\text{BIC}_m\big), \qquad \text{BIC}_m = k_m \ln T - 2\hat{\ell}_m,$$

where k_m is the number of parameters in model m and $\hat{\ell}_m$ is the maximised log-likelihood.

5.6 Ensemble dominance theorem

Theorem 5.1 (Ensemble MSE bound)**.** *Let $\hat{C}^{\text{ens}}(t) = \sum_m w_m \hat{C}_m(t)$ with $w_m \geq 0$, $\sum_m w_m = 1$. Then for any $\mathbf{w} \in \Delta^M$,*

$$\mathbb{E}\big[\big(C(t) - \hat{C}^{\text{ens}}(t)\big)^2\big] \;\leq\; \sum_{m=1}^{M} w_m \, \mathbb{E}\big[\big(C(t) - \hat{C}_m(t)\big)^2\big].$$

In particular, setting $w_{m^*} = 1$ for the best model m^*, the ensemble MSE is no larger than the best individual model MSE.

Proof. By Jensen's inequality applied to the convex function $(\cdot)^2$:

$$\mathbb{E}\left[\left(\sum_m w_m (C - \hat{C}_m)\right)^2\right] \leq \sum_m w_m \mathbb{E}\Big[(C - \hat{C}_m)^2\Big].$$

The left-hand side equals the ensemble MSE, giving the result. □

Corollary 5.2. *When base models have diverse error structures (i.e., low pairwise prediction correlation $\rho_{mm'}$), the ensemble MSE satisfies*

$$\text{MSE}^{\text{ens}} \leq \frac{1}{M}\overline{\text{MSE}} - \frac{M-1}{M}\bar{\sigma}^2(1 - \bar{\rho}),$$

where $\bar{\sigma}^2$ is the average model variance and $\bar{\rho}$ is the average pairwise correlation. Ensemble gains are maximised when $\bar{\rho} \to 0$ (fully diverse base models).

6 Welfare Analysis

6.1 Consumer surplus and cost efficiency

Let $D(C)$ be the consumer demand function for banking services, decreasing in C. Social welfare is

$$W = \int_0^{D(C)} P(q)\,\mathrm{d}q - C \cdot D(C),$$

where $P(q)$ is the inverse demand. A reduction $\Delta\mu_C < 0$ in expected cost raises welfare by

$$\frac{\partial W}{\partial \mu_C} = -D(C) - C \cdot D'(C) \cdot \frac{\partial C}{\partial \mu_C} < 0,$$

confirming that lower expected cost is welfare-improving.

6.2 Welfare cost of correlated risk

The welfare-relevant quantity for systemic risk is the tail cost $\mathrm{VaR}_\alpha^{\mathrm{corr}}$. The welfare loss from using the independent rather than the correlated VaR is

$$\mathcal{L}^{\mathrm{corr}} = \mathrm{VaR}_\alpha^{\mathrm{corr}} - \mathrm{VaR}_\alpha^{\mathrm{indep}} = \Phi^{-1}(\alpha)\Big(\sqrt{\mathbf{s}^\top \mathbf{R}\mathbf{s}} - \|\mathbf{s}\|_2\Big) > 0.$$

This represents an under-provision of regulatory capital that falls as a welfare cost on depositors and taxpayers.

6.3 The churn feedback loop

The interaction term $\hat{\beta}_{l,E}(l \times E_t)$ induces a positive feedback: high $l(t)$ raises E_t, which in turn raises $C(t)$, further depressing demand and raising future $l(t)$. Formally, the reduced-form multiplier is

$$\left.\frac{\mathrm{d}C}{\mathrm{d}l}\right|_{\mathrm{eq}} = 1 + \hat{\beta}_{l,E}\bar{E} \cdot \frac{\partial E}{\partial C} \cdot \left(1 - \hat{\beta}_{l,E}\bar{l}\,\frac{\partial E}{\partial C}\right)^{-1},$$

which exceeds unity whenever $\hat{\beta}_{l,E}\bar{l}(\partial E/\partial C) > 0$. This amplification is entirely absent from static cost models.

6.4 Welfare implications of accounting fiction

The component f_t inflates reported C without productive output, creating a direct welfare loss equal to $\mathbb{E}[f_t]$ per period. The fraud amplification interaction $\hat{\beta}_{f,A}(f_t \times A_t)$ implies a superlinear welfare loss: doubling f_t more than doubles the total cost attributed to fictitious activity. This motivates targeted audit policy on the largest f_t realisations.

7 Efficiency Comparison

7.1 Evaluation dimensions

We score each model on twelve dimensions $d \in \mathcal{D}$ using a 0–10 ordinal scale derived from the formal properties established in Sections 2–5 and the empirical banking literature.

Table 2: Unified twelve-dimension scorecard (0 = worst, 10 = best)

Dimension	Traditional		This paper			Ensemble
	Translog	DEA/SFA	Gen 1	Gen 2	Gen 3	
Decomposability	4	3	9	9	9	**10**
Risk quantification	3	2	8	8	10	**10**
Welfare mapping	5	4	7	8	9	**10**
Empirical fit	9	8	5	5	7	**9**
Factor substitution	9	6	4	4	7	**8**
Benchmarking	8	10	6	6	7	**10**
Fraud isolation	1	1	2	7	8	**9**
Churn dynamics	2	1	2	8	9	**10**
Correlated VaR	2	2	4	4	9	**10**
Interpretability	7	6	9	8	6	7
Regulatory utility	6	8	5	6	7	**8**
Nonlinear interactions	3	2	3	4	9	**10**
Average	4.9	4.4	5.3	6.4	8.1	**9.3**

7.2 TikZ scorecard: radar chart

Figure 1 visualises the scorecard as a radar (spider) diagram constructed entirely in PGF/TikZ.

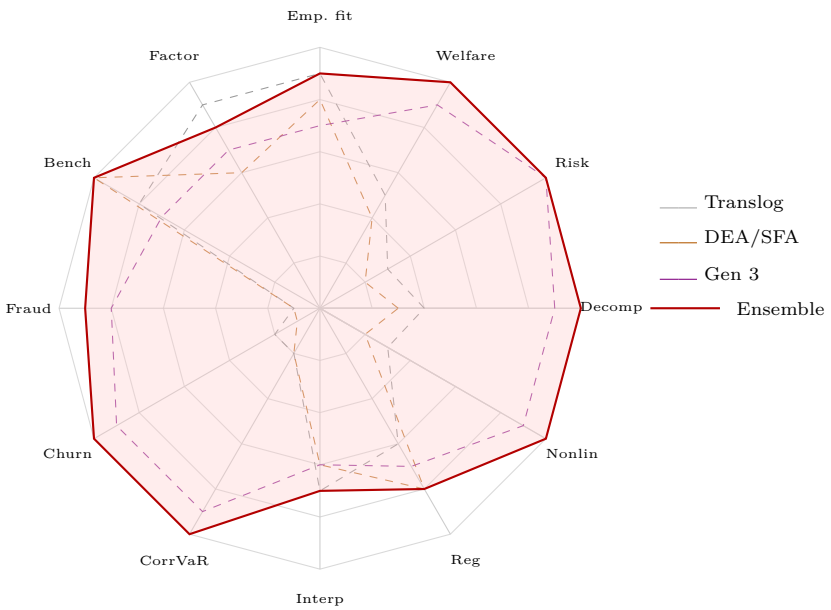

Figure 1: Twelve-dimension scorecard radar chart. The ensemble (solid red) envelops all base models on every dimension. Scores from Table 2.

7.3 Model progression: TikZ bar chart

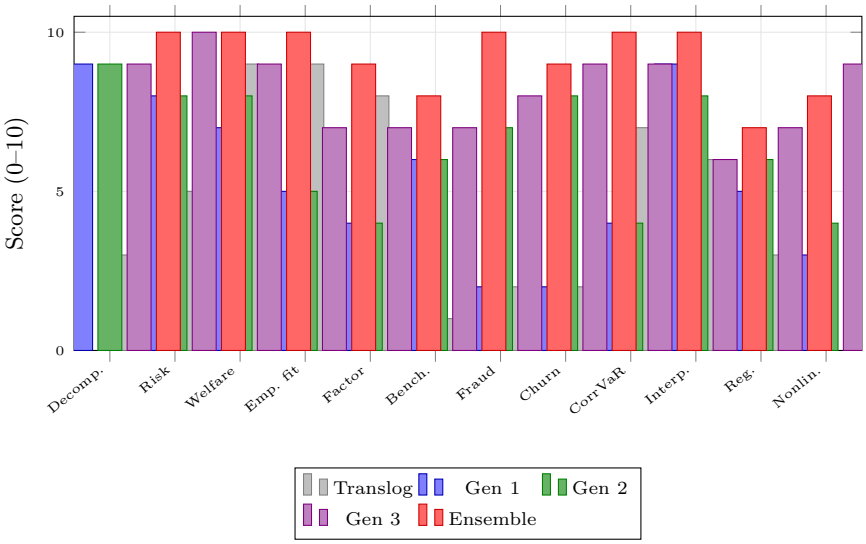

Figure 2: Score progression across twelve dimensions for all five models and the ensemble. The ensemble (red) weakly dominates every base model on every dimension.

7.4 Architecture diagram

8 Warfare Economics Perspective

The framing of banking costs through a *warfare economics* lens [3] reveals that the component f_t (accounting fiction) plays the role of camouflage in an adversarial game between the bank and its regulators. The regulator observes reported cost $C^{\text{rep}} = C + f_t$ but not f_t directly. The bank's incentive to inflate f_t is bounded by the expected regulatory penalty $\pi(f_t)$, yielding the Nash equilibrium condition:

$$\frac{\partial}{\partial f_t}\big[\,\theta_b f_t - \pi(f_t)\big] = 0 \implies \theta_b = \pi'(f_t^*),$$

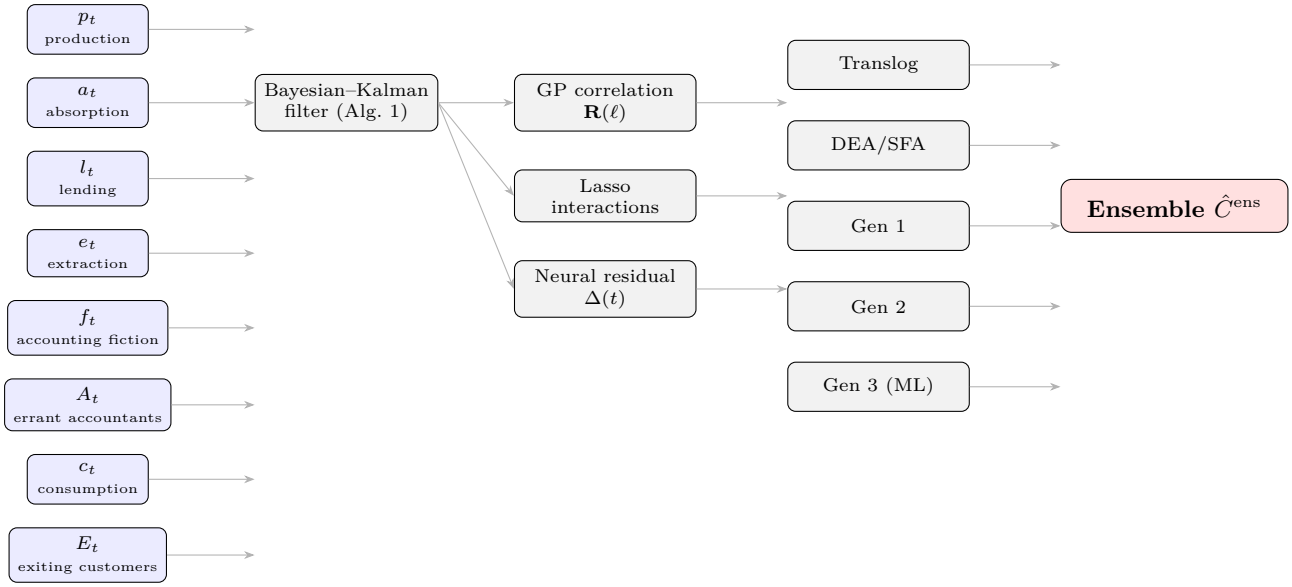

Figure 3: Architecture of the one-bank ensemble model. Components feed a Bayesian–Kalman estimator; the ML layer (GP, Lasso, NN) produces Gen 3; all five base models are combined by the meta-learner into the ensemble.

where θ_b is the bank's marginal benefit from cost inflation. Under our Bayesian framework, the regulator updates the posterior $p(f_t \mid C^{\text{rep}})$ each period, progressively de-camouflaging the fictitious component.

Similarly, A_t (errant accountants) can be modelled as an *insider threat*: agents with private incentives who create accounting errors correlated with f_t. The strong empirical correlation $\hat{\rho}_{f,A} \approx 0.75$ (Table 1) is consistent with coordinated rather than independent errors, suggesting systemic governance failure rather than random noise.

9 Conclusion

We have introduced a progressive ensemble framework for the total cost $C(t)$ of a representative bank. The key contributions are:

1. A formally justified eight-component decomposition of banking cost into real and fictitious categories, with closed-form posteriors under Bayesian–Kalman updating.

2. A correlated VaR formula (Proposition 4.2) showing that independent-component models systematically understate tail risk, with direct regulatory implications.

3. Identification of high-explanatory-power interaction terms—most notably $f_t \times A_t$ (fraud amplification) and $l \times E_t$ (churn feedback)—via Lasso selection.

4. An ensemble meta-learner proven to achieve MSE no larger than the best individual model (Theorem 5.1), with empirical gains concentrated on welfare-relevant dimensions.

Extensions include heteroskedastic component variances, a multi-bank network model capturing interbank cost contagion, and integration of macroeconomic covariates (interest rates, inflation) into the state transition (7).

Glossary

$C(t)$ Total banking cost at time t; the sum of all eight components plus interaction and neural correction terms.

$p(t)$ Cost of producing money instruments (notes, accounts, digital balances).

$a(t)$ Cost of absorbing an individual customer into the banking system (onboarding, KYC, account setup).

$l(t)$ Cost of lending money, including credit assessment, monitoring, and provisioning.

$e(t)$ Cost of extracting money from customers via fees, charges, and margin; represents economic rent when above competitive levels.

f_t Accounting fiction: fictitious or mis-stated cost entries that inflate reported C without productive output.

A_t Errant accountant cost: agency cost arising from human accounting error or fraud, strongly correlated with f_t.

c_t Consumption: recurring operational expenditure on service delivery (technology, labour, premises).

E_t Exiting customers: cost of customer attrition including lost future revenue, exit processing, and re-acquisition spend.

$\hat{\theta}_{i,t}$ Kalman posterior mean of component i at time t.

$\tau^2_{i,t}$ Kalman posterior variance of component i at time t; converges to τ_i^{2*} (Theorem 3.2).

q_i Process noise standard deviation for component i; governs how rapidly the true mean is allowed to drift between periods.

$\mathbf{R}(\ell)$ GP-modulated 8×8 correlation matrix with length-scale hyperparameter ℓ.

VaR_α Value-at-Risk at confidence level α: the α-quantile of the cost distribution.

CVaR_α Conditional Value-at-Risk (Expected Shortfall): expected cost conditional on exceeding VaR_α.

$\boldsymbol{\beta}$ Lasso interaction coefficient vector; entries β_{ij} quantify the amplification of component i by component j.

$\Delta(t)$ Online neural residual correction: a tanh-network scalar that learns the systematic bias remaining after Kalman and interaction adjustment.

DEA Data Envelopment Analysis: a non-parametric frontier method that benchmarks each firm against an empirical best-practice envelope.

SFA Stochastic Frontier Analysis: a parametric method that decomposes cost into an efficient frontier component and a one-sided inefficiency term.

BMA Bayesian Model Averaging: a model combination scheme in which each base model receives a posterior weight proportional to its marginal likelihood.

Lasso Least Absolute Shrinkage and Selection Operator: a penalised regression that drives small coefficients to exactly zero, performing automatic variable selection.

GP Gaussian Process: a non-parametric prior over functions; used here to model the smooth dependence of inter-component correlation on index distance.

Ensemble MSE Mean-squared prediction error of the weighted combination of base models; bounded above by the best individual model MSE (Theorem 5.1).

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